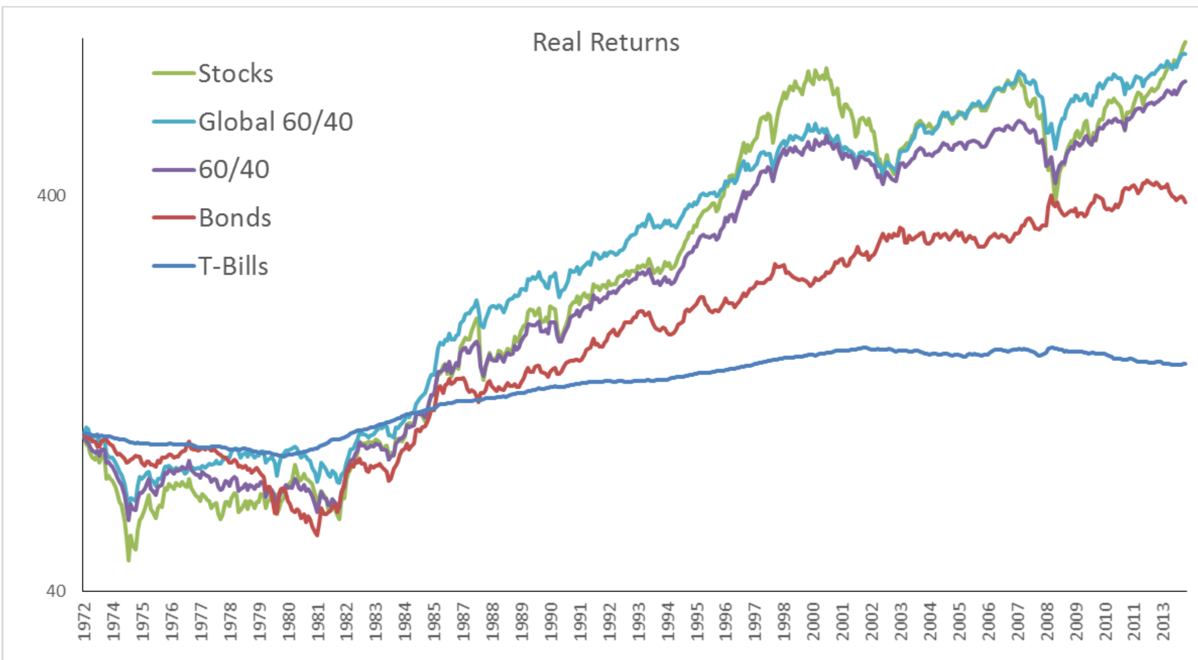
The Global 60-40 Portfolio

The next portfolio we will examine is the 60/40 portfolio, only now we are using global indices rather than just U.S. ones. We split the stock allocation into half domestic and half foreign developed stocks (MSCI EAFE), and split the bond allocation into half domestic and half foreign 10-year government bonds.

Going global in this illustration doesn't change the end result too much, though it does increase returns, reduce volatility, and improve the Sharpe ratio (all good things). The global portfolio also did better during the inflationary 1973-1981 period, as Figure 19 shows.

FIGURE 19 – Various Assets and Strategies, Real Returns, 1973-2013



Source: Global Financial Data